



Real Estate Tax Strategy

How Smart Households Earning \$250,000+ Cut Their Tax Bill Through Real Estate

THE BIG IDEA

The government lets real estate owners deduct the cost of their property over time — even if the property is actually going UP in value. This creates a paper loss that can wipe out real money you owe in taxes.

Think of it like this: you own a rental house. You collect rent checks. The IRS says, 'Your building wore down a little this year — here is a deduction for that.' You pocket the rent AND pay less in taxes.

STRATEGY #1 — STANDARD DEPRECIATION

The IRS lets you spread the cost of a rental building over 27.5 years. You get the same deduction automatically every year, no extra work required.



Example: \$500,000 Purchase

Item	Amount	What It Means
Purchase Price	\$500,000	What you paid
Land Value (subtract)	– \$150,000	Land can't be depreciated
Depreciable Building Value	\$350,000	Only the building counts
Annual Deduction (÷ 27.5 yrs)	\$12,727 / yr	Your automatic write-off
Tax Saved at 37% rate	≈ \$4,709 / yr	Cash back in your pocket

STRATEGY #2 — COST SEGREGATION (TURBO MODE)

A cost segregation study has an engineer look at your building and identify parts that wear out faster — carpet (5 yrs), cabinets (7 yrs), landscaping (15 yrs). Those pieces get depreciated FAST instead of waiting 27.5 years.

Result: instead of spreading the deduction over decades, you pull a massive chunk into Year 1.



Same \$500,000 Property — Accelerated

Method	Year 1 Deduction	Tax Saved (37%)
Standard — no cost seg	\$12,727	≈ \$4,709
Cost Seg — 25% of building	\$87,500	≈ \$32,375
Cost Seg — 30% of building	\$105,000	≈ \$38,850

👉 25–30% of the depreciable value (\$350,000) can typically be reclassified and written off in Year 1.

That's a potential \$32,000–\$39,000 in real tax savings from a single property purchase.

THE CATCH — AND HOW YOUR FAMILY FIXES IT

By default, rental losses are 'passive.' That means they can only cancel out other rental income — NOT your regular paycheck or business income.

BUT there are two powerful exceptions. And here's the best part: the HIGH EARNER doesn't have to be the one who qualifies. Your household wins together.

EXCEPTION A — REAL ESTATE PROFESSIONAL STATUS (REPS)



The Big Insight: The high-earning spouse does NOT need to qualify for this.

When you file taxes jointly, ONE spouse qualifying as a Real Estate Professional unlocks the deductions for your entire household income — including the other spouse's W-2.

To qualify as a Real Estate Professional, ONE person in your household must meet two rules:

Rule	Requirement
Time Threshold	More than 750 hours per year spent on real estate activities
Majority Test	Real estate must be their #1 work activity — more hours than anything else

No license required. Your spouse doesn't need to be a licensed agent or broker — they just need to spend 750+ hours doing real estate activities where real estate is their primary focus. Here are some ways people hit that threshold:

- **Managing your own rentals** — handling maintenance calls, screening tenants, coordinating repairs, bookkeeping
- **Property searching & acquisitions** — researching markets, touring properties, negotiating deals
- **Managing an Airbnb/STR** — guest communication, scheduling cleaners, restocking, pricing
- **Real estate investing activities** — underwriting deals, working with lenders, reviewing contracts
- **Working as a real estate agent or wholesaler** — even part-time, these hours count
- **Renovation oversight & project management** — managing contractors, pulling permits, overseeing rehabs and property improvements

750 hours works out to about 15 hours per week. For a spouse actively managing even 2–3 properties, this is very achievable.



How This Looks for a Real Family

✗ Without REPS	✓ With REPS (Spouse Qualifies)
High earner makes \$400,000 W-2	High earner makes \$400,000 W-2
Couple buys rental, does cost seg	Spouse qualifies as RE Professional
Year 1 paper loss: \$105,000	Year 1 paper loss: \$105,000
Loss is PASSIVE — locked up	Loss becomes ACTIVE — fully usable
Can only offset rental income	Offsets the W-2 income directly
Tax bill: unchanged on W-2	Taxable income drops to \$295,000
Paper loss carried forward indefinitely	Tax savings: ≈ \$38,850 in Year 1

EXCEPTION B — THE SHORT-TERM RENTAL (STR) LOOPHOLE



The Big Insight: This one is even more flexible.

The high earner still doesn't need to be involved. As long as ONE person in the household materially participates — the losses offset your combined W-2 income. No professional license required.

Short-term rentals (think Airbnb, VRBO) are treated differently by the IRS. Because guests stay a week or less, it's classified as a business activity — not a passive rental. That changes everything.



The Two Rules to Unlock STR Losses

Rule	Requirement	Why It Matters
Average Stay ≤ 7 Days	Average guest stay must be 7 days or less across the year	Flips the property from 'passive rental' to 'active business'
Material Participation	100+ hours managing it — AND more than any other person	Proves YOU are actually running it, not just collecting checks



The Same Family — STR vs Long-Term Rental

Long-Term Rental (LTR)	Short-Term Rental (STR)
High earner: \$400,000 W-2	High earner: \$400,000 W-2
Spouse NOT managing full-time	Spouse manages STR (100+ hrs)
Rental loss: \$105,000 (passive)	Rental loss: \$105,000 (active!)
Loss locked — can't touch W-2	Loss offsets W-2 directly
No tax benefit this year	Taxable income: \$295,000
Must wait for RE sale or rental income	Tax savings: ≈ \$38,850 in Year 1

The STR loophole is often the fastest path for high-income households. You don't need REPS. You just need a qualifying property and a spouse (or yourself) willing to log the hours.

WHO NEEDS TO DO WHAT — THE HOUSEHOLD BREAKDOWN

This is the part most people miss. The person managing the property and the person earning the high income do NOT need to be the same person.

Role	Who Does It	Time Required
Earn the High Income (W-2)	Spouse A — the breadwinner	Their regular job, no change
Qualify for REPS	Spouse B — RE as primary job	750+ hrs/yr, full-time focus
OR: Manage the STR	Spouse B (or even Spouse A)	100+ hrs/yr, most of any owner
File Taxes Jointly	Both spouses together	Combined income gets the deduction

The high earner gets the tax savings. The managing spouse does the qualifying work. This is a legal, IRS-recognized team strategy — and it's one of the most powerful tax tools available to dual-income households.

YOUR POTENTIAL TAX SAVINGS AT A GLANCE

Scenario	Year 1 Deduction	Tax Saved (37%)
Standard depreciation only	\$12,727	≈ \$4,709
Cost seg — 25% accelerated	\$87,500	≈ \$32,375
Cost seg — 30% accelerated	\$105,000	≈ \$38,850
REPS or STR + Cost Seg (30%)	\$105,000	≈ \$38,850 offset vs. W-2

** Based on \$500,000 purchase / \$150,000 land value / \$350,000 depreciable building. Estimates only. Individual results vary. This is not tax or legal advice — consult a qualified tax professional.*

Ready to see what YOUR tax savings could look like?

We build a custom strategy around your income, your family's situation, and your real estate goals.

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